

business & economy REAL ESTATE

BOOM going BUST

From offering luxury cars to EMI holidays, desperate developers pull out all stops to lure buyers as sales stagnate across India. As builders borrow to hold prices in the hope of a revival, buyers await the much-predicted crash. The realty party clearly seems to be over.

■ By Malini Bhupta

It is a phenomenon that has no name. Not as yet. But the dark clouds symbolise the crisis enveloping the real estate sector. The symptoms of a slowdown and forebodings of a correction ahead are easy to spot. It is not just in the slide of real estate rates but, more importantly, the aggravation caused by the absence of buyers. And buyers, hurting from unreal price rise and hit by the 35 per cent spiral in cost of home loans—from 7.5 per cent or Rs 806 per lakh equated monthly instalment (EMI) in 2005 to 12 per cent or Rs 1,101 per lakh in 2008—have stayed away. So, desperate, builders are throwing in a range of goodies to push through sales. From offering luxury sedans to plots of land, EMI holidays to sweetheart deals, like free furnishings, builders are going all the distance to lure elusive buyers and boost the stagnant property market. Stung by inflation, rising interest rates and ballooning cost of funding, home buyers have stayed away from the market. Yes, it does seem like a good time to take the bait, but buyers are clearly waiting for more than just freebies. They are waiting for real gains, real drop in prices which, many believe, are round the corner.

As big builders unveil their sop opera, smaller builders trapped between high interest rates and lack of funding are looking for white knights. Be it a small residential project in Bangalore or a plush villa of Unitech in Gurgaon, all are willing to negotiate on their rack rates. Prices in Gurgaon, says Rohitas Goel of Omaxe, have come down from Rs 4,500 per sq ft last year to Rs 3,000 per sq ft this year. A builder in Hyderabad's Bandlaguda area has reduced prices thrice al-

EMI for HOME LOAN of Rs 1 lakh for 20 yrs

2005	2006	2008
7.5%	9%	12%
Rs 806	Rs 899	Rs 1,101

Figures in percentage are rates of interest

